# DEQUAD — Risk Register

## Supporting Appendix — UKES Innovator Founder Visa Submission

> **Purpose.** UKES may request a standalone risk register alongside the business plan. This document enumerates the 17 most material risks identified by the founders, scores each on a 1–5 scale for both Likelihood and Impact, gives the resulting Risk Score (Likelihood × Impact), states the chosen mitigation, and names the risk owner.
>
> Reviewed: monthly by the founders; quarterly by the (future) board once the company has a non-founder director (a milestone tied to team growth, not to any assumed funding round — no external investment is assumed in this plan, Section 10).

## How the scoring works

| Score | Likelihood | Impact |
| --- | --- | --- |
| 1 | Rare (< 5% within forecast) | Negligible (< £2k or no functional impact) |
| 2 | Unlikely (~ 10%) | Minor (£2k–£10k or short-term operational disruption) |
| 3 | Possible (~ 25%) | Moderate (£10k–£50k or 1-month delay) |
| 4 | Likely (~ 50%) | Major (£50k–£200k, key hire lost, partial loss of customer trust) |
| 5 | Almost certain (> 75%) | Critical (existential, regulatory action, safeguarding incident) |

Risk score traffic-light:

- 🔴 **16–25** — actively managed each week; board-visible.
- 🟠 **9–15** — actively managed each month.
- 🟡 **4–8** — managed quarterly.
- 🟢 **1–3** — accepted; reviewed annually.

## Risk register

| # | Risk | Category | Lk | Im | Score | RAG | Owner | Mitigation in place / planned |
|---|---|---|---|---|---|---|---|---|
| **R1** | **University of Bedfordshire pilot conversation never converts to a signed agreement** | Commercial | 3 | 3 | **9** | 🟠 | CEO | Nothing is signed and this is treated as a real possibility, not a formality. The plan (Sections 11–12) is solvent even at zero institutional revenue throughout Y1–Y3 — no cost line depends on this pilot converting. Lead founder's existing relationship as former SU President (2021–2023) improves the odds but is not relied upon financially. Two further pilot conversations are being scoped at peer institutions as additional, independent upside. |
| **R2** | **Co-founder formal appointment delayed past incorporation** | Team | 3 | 5 | **15** | 🟠 | CEO | Candidate identified, term sheet drafted; founder agreement signed; CEO covers Y1 technical work alone if hire slips by < 90 days; backup engineering contractor identified. |
| **R3** | **Institutional or premium revenue falls short of the Y2–Y3 targets in Section 11** | Commercial | 3 | 3 | **9** | 🟠 | CEO | The plan does not require a funding round to remain solvent at any point (Section 10) — the only consequence of missing revenue |

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|---|---|---|---|---|---|---|---|---|
| | | | | | | | | targets is that the base-case Y3 hire and modest founder pay are delayed, not that the business fails. The upside-case job-creation target of 3 full-time hires (§10.4, Appendix G) simply does not trigger if revenue doesn't scale to 6+ paying universities — see R17 for the settlement-specific consequence of that. £6,000 founder cash plus minimal fixed costs (Section 12) carry the business with positive month-end balances even in a zero-institutional-revenue scenario. |
| **R4** | **Safeguarding incident — false negative (failure to flag a real risk signal)** | Product / Clinical | 3 | 5 | **15** | 🟠 | CEO | Human-in-the-loop review for all high-risk flags within 1h; clear in-app crisis-escalation path (Samaritans, 999, university DSL); £1m professional indemnity insurance; clinical advisory board recruitment underway (Q2 Y2 target). |
| **R5** | **Safeguarding incident — false positive that harms a student** (e.g. | Product / Clinical | 3 | 4 | **12** | 🟠 | CEO | Two-step DSL confirmation before any disclosure outside the platform; full audit log; student "appeal" |

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|---|---|---|---|---|---|---|---|---|
| | wrong escalation) | | | | | | | route surfaced in-product. |
| **R6** | **Online Safety Act 2023 non-compliance or ICO enforcement** | Regulatory | 2 | 5 | **10** | 🟠 | CEO | OSA risk assessment & reporting flows already shipped (Appendix I); ICO DPIA drafted (Appendix E); legal review via NatWest Mishcon panel; quarterly compliance review with external counsel. |
| **R7** | **Cybersecurity breach (PII / mood-data leak)** | Security | 2 | 5 | **10** | 🟠 | CTO | Cyber Essentials certification in progress; mood data stored separately from identity data; encryption-at-rest; secrets vault; bug-bounty programme considered once team/revenue grow (not gated on any funding round); penetration test scheduled Q2 Y2. |
| **R8** | **Togetherall / TalkCampus copy the `.ac.uk` verification feature** | Competitive | 3 | 3 | **9** | 🟠 | CEO | First-mover positioning on universities; safeguarding webhook + insights dashboard are deeper moats than email-domain logic alone; signed exclusivity clauses with first 5 paying universities. |
| **R9** | **Large incumbent (Microsoft,** | Competitive | 2 | 4 | **8** | 🟡 | CEO | Niche depth (safeguarding triage + ICB integration) is |

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|---|---|---|---|---|---|---|---|---|
| | **Meta, Pearson) launches a competing student-only network** | | | | | | | unattractive to a horizontal incumbent; build defensible university relationships and data network effects first. |
| **R10** | **University buyer (Director of Student Services) treats DEQUAD as line-item rather than strategic** | Commercial | 3 | 3 | **9** | 🟠 | CEO | Position alongside OfS statutory MH condition and UUK Charter so the budget conversation is with the VC or Deputy VC, not just Student Services. |
| **R11** | **Cost-of-living squeeze suppresses DEQUAD Premium uptake** | Demand | 4 | 2 | **8** | 🟡 | CEO | B2B revenue covers fixed cost base; premium is upside. £4.99/mo price-point already at lower bound of student tolerance. |
| **R12** | **LLM provider price spike (OpenAI / Anthropic) materially raises COGS** | Vendor | 3 | 2 | **6** | 🟡 | CTO | Multi-provider abstraction (Emergent integrations) in place — can swap providers in < 1 day; tier-down to smaller / open-source model for low-risk classification tasks. |
| **R13** | **Negative national PR from a misreported case or social-media pile-on** | Reputation | 2 | 4 | **8** | 🟡 | CEO | Reactive PR plan drawing on NatWest Accelerator mentoring; clear transparency policy; clinical advisory board to provide third-party voice. |

| # | Risk | Category | Lk | Im | Score | RAG | Owner | Mitigation in place / planned |
|---|---|---|---|---|---|---|---|---|
| **R14** | **Key engineering hire leaves in Y2** | Team | 2 | 3 | **6** | 🟡 | CTO | EMI options with 4-year vest + 1-year cliff; documentation and pairing culture; contractor pool identified for emergency cover. |
| **R15** | **Tighter UK immigration regime restricts future hires** | Regulatory | 3 | 2 | **6** | 🟡 | CEO | Both co-founders already UK-resident; all hires within this plan (up to 5, per the job-creation target — Appendix G) are UK-only, settled workers; a sponsor licence would only become relevant if headcount grows beyond this plan's scope, which is not assumed here. |
| **R16** | **Founder burnout (working unpaid through Y1–Y2)** | Team / Personal | 3 | 3 | **9** | 🟠 | Both founders | Founders draw no DEQUAD salary until Y3, and fund living costs from existing employment/freelance income throughout — a deliberate, disclosed choice, not a funding-gated one; mandated weekly off-day; mentor check-ins through NatWest Accelerator. |
| **R17** | **3-hire job-creation target (upside case) not achieved by the settlement** | Regulatory / Commercial | 3 | 3 | **9** | 🟠 | CEO | The job-creation target (§10.4, Appendix G) is presented throughout this application as an illustrative, revenue-contingent upside — not a commitment to |

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| | **application stage** | | | | | | | UKES — so falling short of it does not itself breach any undertaking made here. It is contingent on institutional revenue scaling to 6+ paying universities (Appendix F, "Upside Case (Y3)" sheet), which is not assumed in the conservative base case this plan is built on. If settlement timing requires the job-creation route specifically, the founders would delay the settlement application until either this target or an alternative Home Office settlement criterion (e.g. business-growth metrics) is genuinely met, rather than presenting an unfunded commitment as achieved. |

## Risk dashboard — Year 1 focus

The seven highest-scoring risks define the Year-1 management agenda:

| Risk | Active monitoring |
|---|---|
| R1 — Bedfordshire pilot conversation | Weekly pipeline review with CEO; conversation status tracked honestly (no assumption of conversion) each Friday. |
| R2 — Co-founder appointment | Term sheet + commencement date frozen by end M2. |
| R3 — Revenue vs. plan | Actuals reviewed monthly against Section 11 targets; Y3 hire and founder pay only triggered once revenue actually supports them. |
| R4 — Safeguarding false negative | Sample of flagged + un-flagged cases reviewed each week by CEO + clinical advisor (informal until Q2 Y2). |
| R5 — Safeguarding false positive | Same review cadence as R4. |
| R6 — Regulatory compliance | Quarterly review with legal counsel (via NatWest Mishcon panel). |
| R7 — Cyber breach | Monthly secrets-rotation; quarterly dependency audit. |

## Risks accepted (🟢)

The founders have accepted (and disclosed to UKES) the following lower-priority risks without active mitigation in Year 1:

- **R-A1** Foreign-exchange exposure on USD-denominated cloud bills — accepted: < 10% of COGS.
- **R-A2** Personal liability for limited director duties — accepted; standard D&O insurance to be reviewed once headcount and revenue grow, not gated on any funding round.
- **R-A3** Domain-name / trademark dispute with similar-name companies — accepted; full UKIPO and EUIPO trademark searches completed pre-incorporation; no conflicts found.

## Governance

- **Monthly:** Founders review the full register; update RAG scores; surface new risks; close mitigated risks.
- **Quarterly:** External advisor (NatWest Accelerator programme manager) reviews the register and challenges any rosy scoring.

- **If the team grows beyond the founders (Y3+):** Risk register becomes a standing agenda item at team meetings; a formal board paper and independent non-executive director are considered once headcount and revenue justify the governance overhead — not gated on any external funding round, none of which is assumed in this plan.

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*Written and prepared by Yusuf Quadri, Founder & CEO, DEQUAD Ltd — submitted to UKES as Appendix L to the Innovator Founder visa endorsement application, August 2026.*